EMERGENCY FUND FOR DIFFERENT STAGES OF LIFE

	TARGET	RATIONALE
 Single	3 - 6 months of household expenses	As no one depends on you and, assuming you are young, this is a good start.
 Household with young kids (Single or Dual income)	At least 6 months of household expenses	A young family has several expected and unexpected emergencies, and it would be good to have at least 6 months of savings.
 Household with older kids and/or parents (Single or Dual income)	At least 9 to 12 months of household expenses	A household with older kids and ageing parents faces health-related emergencies and requires more emergency reserves.
 Professional or Entrepreneur family	12 to 18 months of household expenses	Income streams may vary month-on-month, which is why a higher reserve is needed.
 Retired	24 - 36 months of household expenses	When living off your savings, you may want to create a separate bucket only to tap for emergencies. Better to be liberal with money for emergencies than be conservative.

keep life running at a basic level. List the usual essential monthly expenses and the costs that tend to matter most during financial emergencies. These would entail housing (rent or home loan EMIs and payment towards utilities and basic services), food such as groceries and essential household items, transportation, insurance (health, life, etc.) and importantly, minimum debt repayment (Credit card outstanding, car loan, etc.)

A common mistake is to focus on income rather than the necessary expenses one has. Further, expenses could be categorised as fixed and variable to provide greater clarity on how much money to set aside as reserves to tide over the emergency period. Depending on your life stage (See: Emergency Fund for different stages of life) and your personal risk-taking ability, the emergency fund corpus would vary. To smoothly tide over the emergency period, it is generally preferred to have about 6 months of expenses set aside. For many of us, the COVID pandemic in recent years has been a good reference point to set aside an emergency fund.

Creating an emergency fund

An emergency fund should be held in a stable, easy-to-manage, and convenient-to-access financial instrument. It could be in a mix of instruments, such as a bank savings account or a money market fund, preferably a liquid fund you can access anytime or on short notice. If you are setting up an emergency fund, start with a manageable amount that won't discourage you. Start with a small sum of a few thousand rupees. Set an automatic debit from your bank account towards an emergency fund. At the same time, understand your expenses so you can build your reserve over time.

Once you have saved towards this fund with a 1-2 month reserve, it should encourage you to complete the process at the earliest or within a reasonable time frame of a year. Unlike other financial goals, where saved money is used for something planned, the emergency fund should be treated as a reserve, something stashed away to be deployed only for unexpected events. Once you have created it, you can focus on your other financial goals without worry. Remember, an emergency fund provides a buffer, ensuring you can navigate through unexpected challenges without compromising your financial well-being.

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